

The EPR Law takes on the Philippines' plastic problem

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BARRING any last-minute hiccups, the Extended Producer Responsibility (EPR) Act of 2022 should have lapsed into law by now, which means companies are now responsible for the plastic packaging they use to protect, transport and sell their products.

The law is meant to address our country's contribution to the global plastic pollution problem, where 40 percent of global plastic waste ends up in the ocean. In 2016 alone, 11 million metric tons (MT) of plastic entered the ocean. If nothing is done, this may reach 29 million MT by 2040.

Previously, manufacturers were only responsible for the impact of the actual production of their products. But under the [EPR Act](#), product manufacturers will be held responsible for the entire life cycle of their product – from manufacture to use and to end of life.

Who will be affected?

The law covers brand owners who sell or supply any commodity under a brand or identity using a product it produced or a material supplied to it by another manufacturer or supplier. Brand owners are also responsible for their toll manufacturers as they manufacture products on behalf of the brand owner.



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Large enterprises, or businesses with total assets worth more than P100 million, are required to participate in EPR. Micro, small and medium enterprises are not required to do so but are highly encouraged.

What materials are covered?

The law covers plastic packaging that is used to "carry, protect, or pack goods for transportation, distribution, or sale." This includes:

- sachets, labels, laminates and other flexible plastic, whether single layer or multilayered with other materials, examples of which include packaging used for shampoo and noodles;

- rigid plastic packaging, whether layered with any other materials, and their coverings or lids such as bottles used for drinks and cosmetics;

- rigid plastic promotional items such as cutlery, plates, drinking straws or signage;

- plastic bags, including single-use plastic bags used to transport products that are provided or used upon purchase; and

- polystyrene, including both rigid (e.g., takeout containers) and foam polystyrene (e.g., cups, packing foam).

Products made of plastic are not covered by the law.

What do companies have to do?

Companies must establish or phase in EPR programs for their plastic packaging within six months of the law's effectivity and register these with the [National Solid Waste Management Commission](#). They also need to measure their annual plastic packaging footprint and meet diversion targets. By the end of 2023, they need to demonstrate recovery and diversion of 20 percent of their 2022 plastic packaging footprint. This rises to 40 percent in 2024 with a 10-percent annual increase up to 80 percent by 2028 and onwards.

Companies are also required to submit annual compliance reports that are audited and assured by an independent third-party auditor. The report should include the company's plastic packaging footprint, amount of plastic recovered, recovery rate and EPR program compliance based on standards to be established by the [Department of Environment and Natural Resources](#).

Compliance comes in many forms, including:

- recovery schemes such as redemption, buy-backs, or any other method that results in high collection and recycling rates of the plastic waste;

- recycling and other sustainable methods;

- transporting plastic waste to appropriate processing or disposal sites in the country;

- cleanup of plastic waste leaked to coastal areas, public roads and other areas;

- establishment of commercial or industrial-scale recycling, thermal treatment, or other waste diversion or disposal facility; and

- partnerships with local government units (LGUs), communities and the informal waste sector to recover plastic waste.

Note that while schemes such as redesigning products to increase reusability and recyclability, using recycled content in a product and establishing refilling stations reduce a company's overall plastic footprint, these are not considered "diversion activities."

Who can I work with on this?

Companies can do an EPR program on their own or form partnerships with other companies, nongovernment organizations and/or LGUs to scale up their activities. Companies can also join a producer responsibility organization.

For the waste footprint and diversion certification, companies need to work with independent auditors who can certify that their declared waste footprint and waste diversion are correct.

EPR program costs, meanwhile, are considered necessary business expenses and are deductible from annual gross income.

Lastly, companies that don't register their EPR programs or fail to meet the diversion targets will be fined as follows:

- for the first offense, between P5 million and P10 million;

- second offense, between P10 million and P15 million; and

- third offense, P15 million to not more than P20 million and suspension of business permit until they comply.

If a company does not meet the diversion requirements, it will have to pay the above fines or a fine twice the cost of recovering and diverting the amount of plastic needed to comply, whichever is higher.

No doubt this new law will have a significant impact on the operations of covered companies, at a time when many businesses may still be on recovery mode from the pandemic. But considering that the Philippines is one of the world's largest contributors to marine plastic pollution, it is our collective responsibility to take bold action now. Let's clean up our act while we can still make a difference.

The authors are part of the climate and sustainability advisory team within the risk advisory group of [Deloitte Philippines \(Navarro Amper & Co.\)](#), a member of the Deloitte Asia Pacific Network. For comments or questions, email manonuevo@deloitte.com or blaureto@deloitte.com.

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